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Oracle Data Center Concerns Offset by Hardy OpenAI Gains: React

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(Bloomberg Intelligence) -- RECENT EVENT REACTION: A sharp increase in OpenAI annual recurring revenue, driven partly by enterprise sales, reinvigorates our confidence that Oracle's consensus sales estimates of $90.4 billion for fiscal 2027 are less at risk, even after reports of data-center delays. OpenAI annual recurring revenue reached $70 billion, aided by a 100% increase in enterprise revenue from the beginning of its 3Q, according to Axios, which highlights to us that businesses continue to spend more with the model provider, even amid growing interest in open source and open weight models. Though this news is some relief to 2027 sales, it's also possible ongoing data-center delays could affect 2028 sales consensus of $131.2 billion. (09/30/26)

1. Oracle Funding Flexibility Can Reduce Debt Load: Equity Outlook

THESIS: Oracle's flexible capital arrangements, from bring-your-own hardware to supplier financing, can help limit the rate of capital-spending growth. At the same time, the balance sheet continues to grow and financing costs might increase in 2H amid rising interest rates. Bringing more data centers online has become a key bottleneck for the entire industry amid greater backlash against new data-center construction, despite favorable GPU pricing. OpenAI's hundreds of billions in compute commitment to Oracle seems uncertain, especially given its extended pact with Amazon Web Services. (09/11/26)

Financial Review

Earnings

2. Oracle AI Funding Stress Eases on Prepayments: Earnings Outlook

Post-1Q Earnings Outlook: Oracle's fiscal 2027 funding needs should stay contained even as AI-infrastructure growth accelerates, helped by customer prepayments, bring-your-own-hardware arrangements and supplier financing. We see capital expenditures of $90-$100 billion in fiscal 2027, with $70 billion coming from internal financing. Cloud infrastructure revenue rose 120% in constant currency and is likely to continue accelerating through 2027 as more backlog converts to sales.

The key debate should shift from funding capacity to execution, particularly the pace of data-center delivery. Operating margin held near 42% despite lower gross margin from a greater cloud-infrastructure mix, supported by lower operating expenses as a percentage of sales. We expect that to sustain through the rest of the year. (09/11/26)

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Highlights From Recent Results:

- Fiscal 1Q Sales Rose 30% in Constant Currency (CC) to $19.3 Billion Due to Cloud Demand, vs. 11% Gain a Year Earlier
- Adjusted EPS Rose 31% to $1.92 vs. $1.47 a Year Ago, Driven by AI Computing Demand
- Adjusted Operating Margin Expanded About 30 Bps to 42.1% From Last Year Amid Revenue Gains and Operating Efficiencies
- Cloud Applications Revenue Was 10% Higher in CC, vs. Similar 10% Growth a Year Ago
- Cloud Infrastructure Revenue Climbed 120% in CC, Above 54% Gain in Prior Year, Driven by AI Training Workloads

Additional Resources:

- Earnings Release | NSN »

Long-Term Drivers

3. Oracle Cloud Infrastructure Unit to Fuel Long-Term Sales Growth

Oracle Cloud Infrastructure (OCI) is now the company's main growth engine, fueled by rising demand for AI compute. OCI also benefits from increased adoption of multicloud strategies, strengthening its position as an alternative to Amazon Web Services, Microsoft and Google. New data centers coming online could drive a meaningful sales acceleration from AI backlog over the next 12 months. OpenAI's large commitments remain an area of debate, especially as the model provider has signed deals with multiple cloud providers totaling hundreds of billions of dollars.

Oracle's cloud-applications business also stands to benefit from increased adoption of enterprise resource-planning tools, where cloud penetration remains relatively low. Elevated capital spending on AI data centers will likely weigh on free cash flow in the near term. (07/16/26)

Bloomberg Interactive Model (Click to Open)

Oracle Corp
ORCL US

Bloomberg Interactive Model V2.1

Oracle Corp

Act_Est Indicator	A	A	E	E	E
Period Type	A	A	A	A	A
	2025	2026	2027	2028	2029
Key Drivers					
SEGMENT DETAIL					
Cloud	24,506	33,989	53,983	96,089	129,048
Y/Y Change		*38.7%*	*58.8%*	*78.0%*	*34.3%*
Consensus - YoY Growth			66.0%	72.6%	52.9%
SEGMENT DETAIL					
Services	5,233	5,743	5,890	5,831	5,774
Y/Y Change	*-3.6%*	*9.7%*	*2.6%*	*-1.0%*	*-1.0%*
Consensus - YoY Growth			2.6%	1.8%	-0.2%
Key Financial Metrics					
Total Revenue (Non-GAAP)	57,399	67,357	87,362	128,292	160,293
Consensus			89,576	130,155	181,737
Gross Margin (Non-GAAP)	70.5%	65.8%	61.9%	54.9%	51.1%
Consensus			59.8%	53.5%	48.9%
Operating Margin (Non-GAAP)	43.6%	42.9%	42.7%	26.5%	22.5%
Consensus			40.3%	37.4%	36.8%
Diluted EPS (Non-GAAP)	6.03	7.67	8.25	10.71	11.70
Consensus			8.07	10.80	15.73
Free Cash Flow	(394)	(23,627)	(51,649)	(41,749)	(4,767)
Consensus			(45,845)	(36,120)	(4,669)

This Bloomberg Interactive Model uses dyanic drivers - benchmarked against detailed consensus estimates or based on BI analyst scenarios that can be customized by users - to create an integrated three-statement financial model

Source: Bloomberg Intelligence

Key Topics

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FY 2030 Sales Target in Doubt

Oracle's 2030 Sales Goal Faces Longer Odds as OpenAI Risks Rise

Oracle's chances of reaching its $225 billion fiscal 2030 sales goal, or the roughly similar consensus, are diminishing, with our analysis suggesting $170-$190 billion is more likely if it loses out on OpenAI's new commitments to Amazon Web Services. A report that OpenAI may have missed its near-term sales target raises doubts about its ability to sustain more than $700 billion in cloud commitments across multiple cloud providers. (04/29/26)

4. Possible That OpenAI May Have to Scale Back

A miss in OpenAI's internal sales and user targets, as reported by The Wall Street Journal on April 27, threatens to ripple across the AI infrastructure ecosystem, with Oracle most exposed against its financial goals. OpenAI might need to scale back its more than $700 billion in commitments across cloud providers, which could trim Oracle's roughly $300 billion share. When OpenAI first entered an alliance with Oracle, it did not have a partnership with Amazon Web Services, the largest cloud infrastructure provider, likely because of its close ties to Microsoft.

Since then, OpenAI and AWS have deepened their partnership, with AWS pledging $50 billion to the large language model provider and OpenAI committing more than $100 billion in cloud spending. (04/29/26)

OpenAI Cloud Commitments

Partner	Announced	Size
Oracle	July 2025	$300B
Microsoft	January 2026	$250B
AWS	February 2026	$136B
Coreweave	September 2025	$22.4B
Total		$710.4B

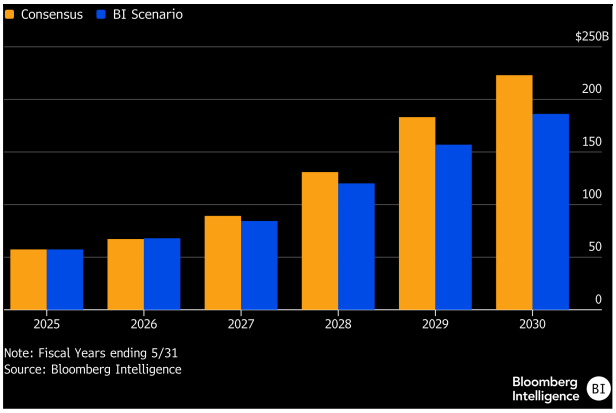
Source: Bloomberg Intelligence

Bloomberg Intelligence

5. Sales Goal of $225 Billion Faces Higher Hurdles

Oracle's ambition of reaching $225 billion in sales by fiscal 2030, up from $57 billion in 2025, looks tougher to achieve if OpenAI scales back its total cloud commitments or allocates more resources toward AWS. Our calculations suggest that Oracle's total 2030 sales of $170-$190 billion vs. consensus of $223 billion if OpenAI reallocates $140-$160 billion of its $300 billion commitment to Oracle. Even in that reduced scenario, Oracle sales growth from 2025-30 would still average 24%-27% annually. (04/29/26)

BI Oracle Sales Scenario



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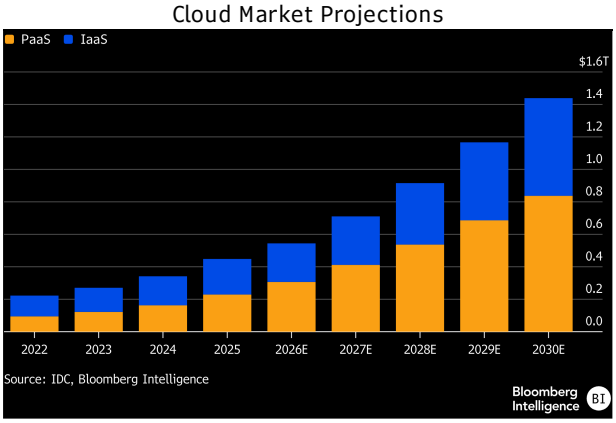
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6. Modest Risk to 2027 Consensus Sales

Given that OpenAI-related sales will likely start contributing some time in fiscal 2028, we see only a modest risk to consensus 2027 sales, mostly tied to supply constraints the AI-infrastructure supply chain or a potential delay in data-center build-outs. Also, a potential setback with OpenAI-related revenue likely wouldn't change Oracle's standing as the fourth-largest hyperscale cloud provider.

Cloud infrastructure is among the main beneficiaries of increased AI spending, with most of the added revenue going to Amazon Web Services, Microsoft, Google and Oracle. Our analysis suggests the cloud-infrastructure market -- combining infrastructure as a service and platform as a service -- will reach $1.4 trillion by 2030, growing at a 26% annual rate. (04/29/26)

Cloud Market Projections



Project Jupiter Policy Issues

Oracle Faces Data-Center Delays, Shows Sector State-Policy Risks

Contributing Analysts Justin Teresi (Litigation)

Sept. 24 reports that Oracle will seek protection from contractual obligations as a main tenant at Blue Owl-backed Project Jupiter, a 2.45-gigawatt New Mexico data center, if construction slips beyond 2028 highlight rising delay risk as state and local governments wield a broad set of permitting and regulatory levers. Though some gubernatorial actions contemplate outright data-center moratoriums, withholding required environmental or building permits can produce similar outcomes.

Oracle reportedly says it will invoke force majeure if there are delays at Project Jupiter, a move that could free it from payments in the event of circumstances outside its control. However, the applicability of the legal doctrine is heavily fact-dependent. (09/24/26)

7. New Mexico Politics at Play

Contributing Analysts Justin Teresi (Litigation)

Despite the absence of a statewide moratorium on data-centers in New Mexico and Oracle's claims it's already delivered over $80 million in tax revenue from operations, Project Jupiter faces delays due to litigation by environmental groups that reached the state Supreme Court. Using existing law, project opponents successfully argued that aspects of two permitting processes were deficient, which led to a stay of an air-quality permitting process. We believe this is an emerging theme to watch across different jurisdictions.

Highlighting how election politics vary from state to state, New Mexico's incumbent governor, Michelle Lujan Grisham, is term-limited, leaving an open seat. As in many other states, data-center policy has

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emerged as a central issue in the race, with a recent Albuquerque Journal poll finding that 65% of respondents oppose large-scale data centers. Democratic gubernatorial nominee Deb Haaland said she would impose a statewide moratorium by executive order if elected, increasing the incentive for Oracle to advance permitting before a change in administration. (09/24/26)

Oracle's Depiction of Project Jupiter Site



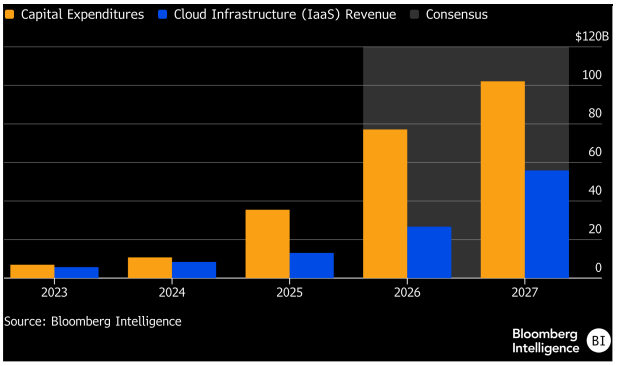
8. Broadly Speaking, a Ban's a Ban

Contributing Analysts Justin Teresi (Litigation)

Policies that contribute to project delays or cancellations extend well beyond data-center moratoriums, making whether a state has proposed or enacted one a helpful but incomplete measure of jurisdictional risk. As in New Mexico, state and municipal governments typically hold wide permitting and environmental powers, many of which can serve as levers to slow progress amid localized opposition.

Additionally, the term moratorium itself appears to be politically charged, with elected officials opting to coin policies as such or not, even when the practical end result can be identical. Texas Governor Greg Abbott's August order pausing new data-center interconnections while state agencies audit a series of energy and water usage issues at proposed sites is largely the functional equivalent to New York Governor Kathy Hochul's one-year moratorium, though the time frame can be shorter in Texas. (09/24/26)

Oracle Capex Exceeds Cloud Revenue in Short-Term



Open Models Help AI Diffusion

AWS, Microsoft Power Rises if Open Models Fuel More AI Adoption

Greater proliferation of open large- and small-language models should be a long-term positive for hyperscale cloud providers, as lower costs, greater model choice and reduced dependency on

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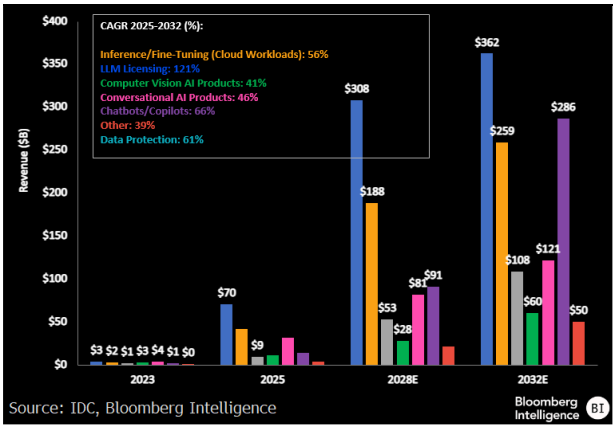
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frontier labs accelerate AI diffusion across industries. The pending $13 billion acquisition of Hugging Face by Nvidia and the recent success of open-weight AI models like Kimi K3 can accelerate the adoption of open models, and AI in general. (09/09/26)

9. Open Models Good for AI Diffusion Across Enterprises

Open and smaller models could significantly expand the total addressable market for AI workloads as cheaper models accelerate AI adoption across enterprises of all sizes. As the performance gap between models narrows, the key differentiation for inference will likely be security framework, enterprise data, developer tools and distribution. These factors could favor hyperscale cloud providers, which have been working closely with clients for decades. In addition to the recent improvement in the capabilities of open-weight models like Kimi K3 compared to frontier models, the pending acquisition of Hugging Face by Nvidia could accelerate the adoption of open models. (09/09/26)

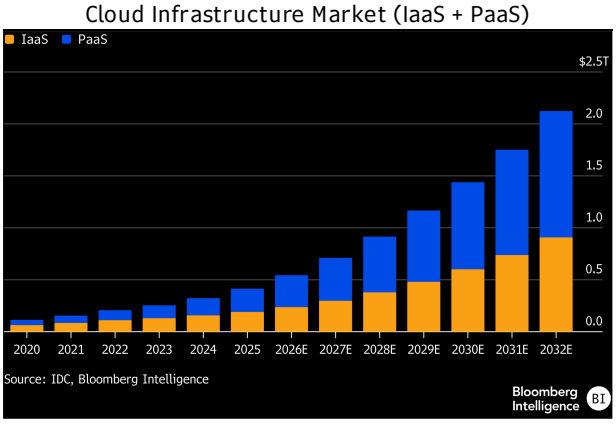
Gen AI End Markets



10. Cloud Infrastructure May Top $2 Trillion by 2032

Cloud backlog on the balance sheet of the leading tech companies stands at around $2.3 trillion. Out of this amount, frontier model labs account for around $1 trillion in backlog across various cloud providers. If cheaper open and small models accelerate adoption across Fortune 2000 companies, AI infrastructure demand could become much broader and less dependent on a handful of exceptionally large customers. Such a shift would provide greater confidence in our scenario of cloud infrastructure spending to reach $2.1 trillion by 2032, growing annually by 26%. (09/09/26)

Cloud Infrastructure Market (IaaS + PaaS)



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11. Early Evidence of Multiple Model Use in Agents

Over the past few months, our research has uncovered multiple instances of AI-first companies using multiple models to create their own agents, especially smaller models. On Bloomberg Intelligence's Tech Disruptors podcast, Sierra founder Clay Bevor said that its agents are built on a "constellation" of models which in some cases could be around 20 models, with a mix of frontier and non-frontier models. Such an approach derisks the enterprise from being too dependent on just one provider.

On another podcast, Serval CEO Jake Stauch relayed a similar message, where the company is using both OpenAI and Anthropic models in the background and routes the query to the right model depending on the nature of the inquiry. Our multiple CIO surveys suggest enterprises are pivoting to one main model provider, but we expect this framework to change in the coming years and to follow the multi-model strategy that AI-native software firms are adopting. (09/09/26)

Bloomberg Audio

"We build our agents on top of what we refer to as a constellation of models...And so rather than build our agents on top of a single model, we, for any given agent, may use as many as 10, 15, even 20 separate models. Some of those are frontier models from the labs. Some of those are our own proprietary post-trained models, where we take open- weights models and fine-tune them ourselves for specific tasks. And then we mix and match these models to match the right model to the right task."

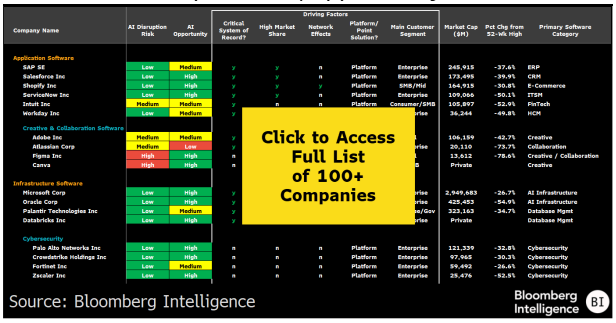
Clay Bavor - Co-Founder, Sierra
Tech Disruptors Podcast, Aug. 18, 2026
Click to listen

12. Model Commodization Positive for Software Industry

Greater model commoditization could ease disruption risks for the software industry, particularly enterprise application providers, whose valuations have fallen sharply in recent years. In a scenario where frontier models are no longer the only game in town, value may shift back to those vendors that have a high market share in their respective categories, as they control distribution and specialize in domain-specific workflows. Some of the companies that stand out include Workday, SAP, ServiceNow, Shopify and Salesforce that are the gold standard in their respective categories, and command high market share.

We have a "low ranking" of AI disruption for the vendors mentioned above in Bloomberg Intelligence's disruption framework. Our matrix looks at factors including the critical nature of the software, the provider's market share, network effects, whether the company is a platform or a point-product provider and if end customers are consumers and small businesses or large corporations. (09/09/26)

AI-Disruption Risk, Opportunity Table



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Hyperscaler Status Due to AI

Oracle Top Cloud-Infrastructure Provider Amid Rising AI Demand

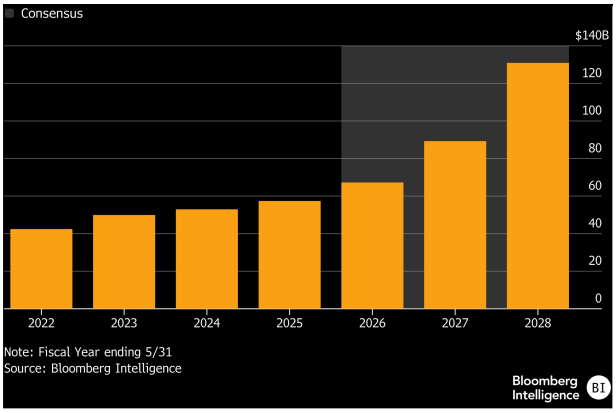
Oracle's near-term sales growth is set to accelerate with new data-center capacity coming online, solidifying its status as No. 4 hyperscale cloud provider. Our analysis shows Oracle Cloud Infrastructure sales will reach $75 billion by fiscal 2028 vs. $18 billion in 2026, growing annually at 104%. This shift will impair company gross margins, given the lower margin profile for cloud infrastructure vs. software. (05/01/26)

13. Total Sales Can Grow 30% Annually Through Fiscal 2028

Oracle's total revenue could expand to $125 billion by fiscal 2028, based on our analysis, which suggests annual growth of 30%. We expect the rate of acceleration to steepen each year as access to power and AI chips gets easier, letting Oracle recognize more sales in its cloud-infrastructure unit. This segment will likely be the largest revenue driver in the period, reaching 60% of the total by fiscal 2028 and expanding at an annual rate of around 95%.

Cloud-applications growth may remain steadier and likely benefit downstream from greater cloud-infrastructure adoption, with our analysis pointing to 10-13% annual growth in constant currency. All other segments, including software licenses and support, hardware and services could remain flat or contract over the medium term. (05/01/26)

Oracle Revenue



14. 2028 Cloud-Infrastructure Sales Can Reach $75 Billion

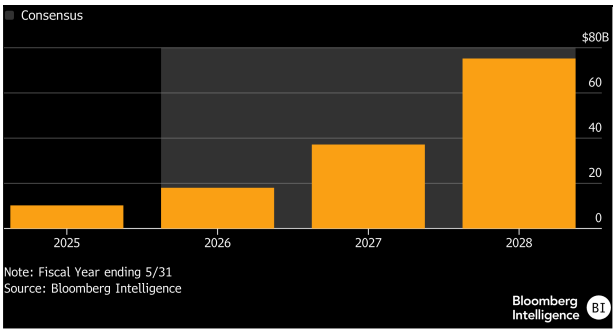
Oracle's cloud infrastructure unit will likely be the main driver of total revenue over the medium term given rising AI demand. Despite constraints -- largely on power and memory -- that may delay much of the revenue recognition, we expect this segment to overtake cloud applications this year as the largest source of revenue, at close to $18 billion, expanding 75% in constant currency.

Segment growth will likely accelerate each year as bottlenecks ease, and sales may climb to about $75 billion in fiscal 2028. Without the cloud infrastructure unit, total revenue would only expand at an annual rate of 2-4% in the period, based on our analysis. (05/01/26)

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Cloud-Infrastructure Revenue

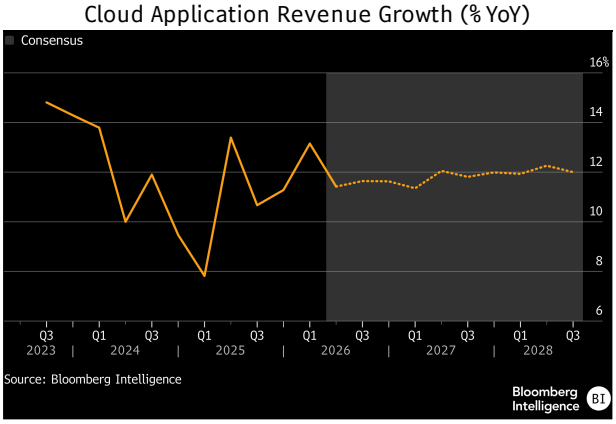


15. Cloud Apps Can Expand by Low-Double Digits

Cloud applications appear likely to sustain growth of 10-13% in constant currency over the next three years, aided by upstream adoption of cloud infrastructure, greater bundling and AI-agent adoption over the long tail. The company's "One Oracle" go-to-market push, which combines its cloud infrastructure, applications and database offerings, could give applications greater runway for upselling, especially since only a small percentage of customers have adopted all product lines.

Greater uptake of AI agents in the long run may be an even bigger growth area for the cloud apps unit, though we don't expect meaningful revenue from this for at least 12-18 months and would need greater clarity around its monetization. (05/01/26)

Cloud Application Revenue Growth (% YoY)



16. Gross Margins Likely to Shrink 300-400 Bps Yearly

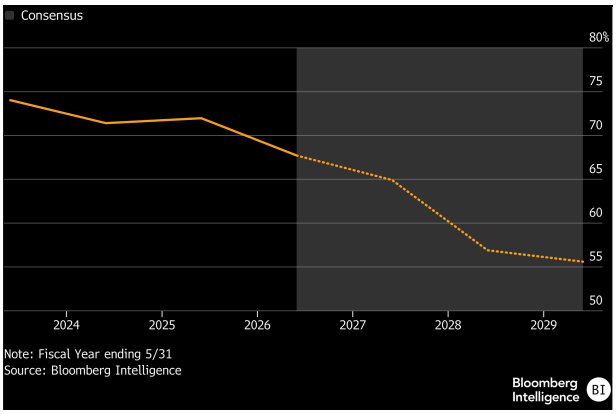
Oracle's rapid AI-infrastructure expansion will keep pressuring gross margin, with our analysis indicating a roughly 550-bp contraction in fiscal 2026. AI infrastructure carries the lowest gross-margin profile of any of the company's other server products at around 30-40% due to the elevated costs of procuring the high-performance compute and storage, as well as the accelerated time to deployment. Other infrastructure areas like private cloud and cloud-native workloads carry a 40-60% gross margin, while enterprises buying the full cloud suite can be upward of 65-80%.

A greater sales mix of cloud infrastructure over cloud applications is likely to weigh on overall profitability for the next 3-5 years. (05/01/26)

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Oracle Gross Margin

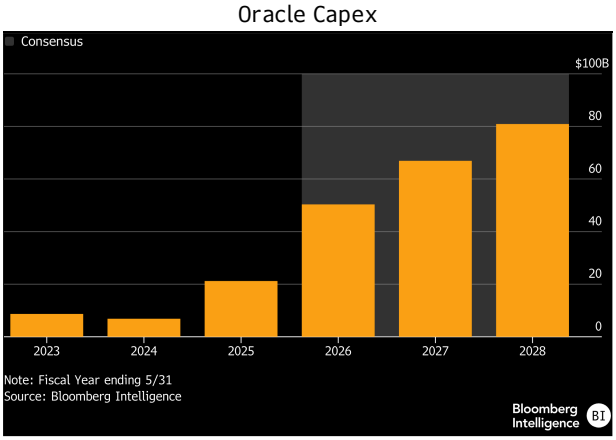


17. Capital Spending May Reach $70-$80 Billion in 2028

Oracle cloud-infrastructure growth prospects will likely stay strong even if OpenAI decides to shift some capacity to Amazon Web Services, driven by sustained demand from both training and inference AI workloads. Consequently, we don't see any reduction in capital spending in the next few years and anticipate this metric to steadily rise to about $70 billion-$80 billion in 2028 from $50 billion in 2026. We expect management to remain judicious and take a balanced approach in raising capital to fund this outlay.

Oracle has turned to new kinds of arrangements such as letting customers bring their own GPUs, which can lessen the burden on its balance sheet. If this continues, then our scenario of rising capex may have to be revised lower. (05/01/26)

Oracle Capex



Threat to Databases Receding

Oracle Cloud Success, Hyperscaler Pacts Lower Risk to Databases

The recent success of Oracle's cloud-infrastructure product, coupled with partnerships with all three hyperscale cloud providers, can reduce the pace of market-share loss its core database business has faced the past few years. The company's new status as the next hyperscaler should give enterprises the comfort of hosting Oracle databases on its cloud infrastructure, and data interoperability lets them use any cloud infrastructure. (04/13/26)

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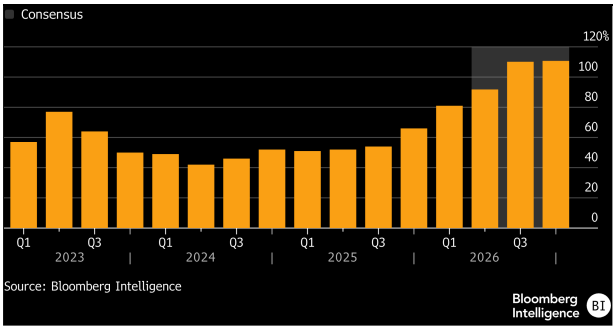
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18. Multicloud Alliances Bolster Oracle Databases

Oracle's previous partnerships with the three largest hyperscale cloud providers appear to be paying off for the company's database business, with over 500% multicloud database sales growth in fiscal 3Q. This lets customers leverage tools from the hyperscalers while accessing Oracle's cloud database, removing a primary barrier for clients who might have explored more-compatible alternative databases.

Partnerships with AI model providers to increase the integration of large language models in databases can further reduce friction for customers seeking to run AI on top of their data. Oracle's ability to reduce complexity in using the database product would let it decrease time to deployment and increase addressable market. (04/13/26)

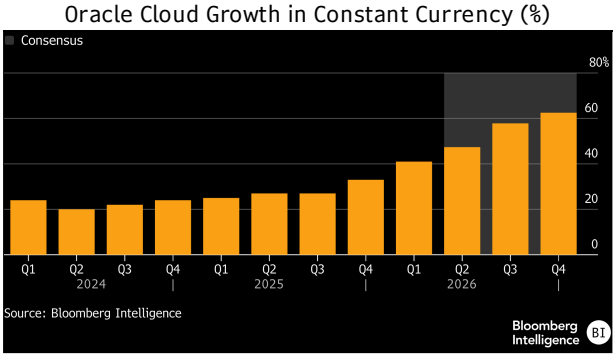
Oracle Cloud IaaS Growth in Constant Currency (%)



19. OCI Orders Lift Confidence in Oracle Databases

The recent spike in demand for Oracle Cloud Infrastructure (OCI) can spur greater credibility for its autonomous cloud database among new and on-premise clients. Oracle's emergence as a serious, scaled cloud platform helps it compete more effectively with the hyperscalers. Increased adoption of these critical workloads may eventually lead to broader app modernization on the OCI platform. Full migration to the cloud for enterprises on OCI outside of its own apps, like Cerner, are rare, though enterprises leveraging OCI for database or compute needs have steadily risen with customers such as Uber, Temu, Zoom, xAI and Nvidia. (04/13/26)

Oracle Cloud Growth in Constant Currency (%)



20. Oracle Database Share Loss Appears Set to Slow

The adoption of Oracle databases on other clouds like Azure is likely to help Oracle stem market-share loss in database-management systems over the past few years, most of it to Microsoft and AWS. Microsoft's success is led by Azure SQL, the cloud version of its on-premise database. Advances in Amazon's basic computing services like storage and compute aided adoption of its cloud-based databases such as Redshift and Aurora.

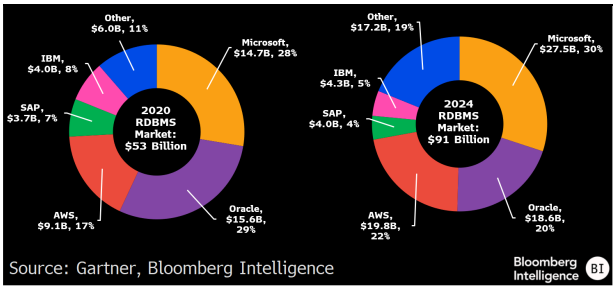
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Bloomberg Intelligence

Among relational database-management systems, Oracle had roughly 20% of the $91 billion market in 2024, Gartner data show. That's down 100 bps from 2023 and 850 bps from 2020. Microsoft advanced its share 64 bps in 2024 to 30% from 2023, while AWS grew 51 bps to 22%. (04/13/26)

Relational Database-Management Market Share



21. Long-Term Future of Custom Apps Unclear

For large, custom-built legacy applications, the near-term cloud solutions would likely entail Oracle moving those applications to its data center from the customer's without any reengineering, a process dubbed "lift and shift." These could be airline systems developed in-house or custom banking applications using older coding languages. Though hosted on Oracle's cloud infrastructure, lift-and-shift apps typically aren't optimized to run on the cloud.

We're still uncertain about OCI's competitiveness with AWS or Microsoft if the customer makes a strategic decision to optimize their application by rewriting it using a cloud-native architecture. Gen-AI coding tools like Claude Code and Codex can reduce migration costs, decreasing application stickiness. (04/13/26)

Relational Database Systems Forecast ($ Billion)

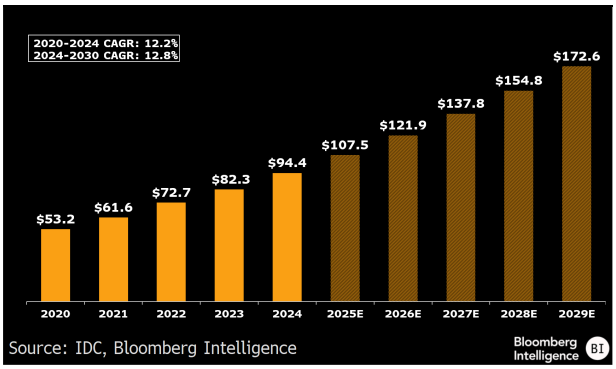


Chart Book

Company

Oracle Gains Traction as Credible Rival in Cloud Infrastructure

Oracle is becoming a credible challenger in cloud infrastructure, competing more directly with bigger providers like Microsoft and Amazon.com as AI-driven demand boost capacity need. In cloud-based application software, the company is typically a top-three provider in the largest functional markets: customer-resource management, human resources and enterprise-resource planning. Cloud revenue was 43% of sales in fiscal 2025, and our analysis suggests it can reach 50% by 2026. Oracle's on-premise database business is a key source of revenue, letting it boost capital spending in fiscal 2026

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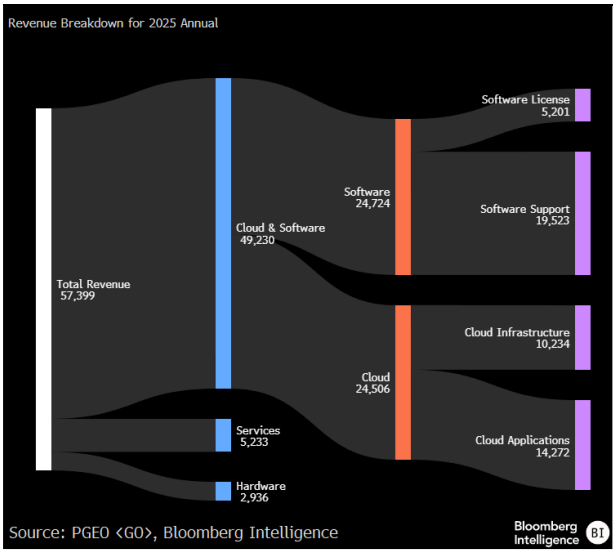
to about $50 billion to meet cloud-infrastructure demand. Its hardware and services businesses make up 14% of revenue, both of which fell in 2025.

To access live data and charts, please click on the links under the images below. (03/11/26)

22. High Sales Predictability With Cloud and Support

(03/11/26)

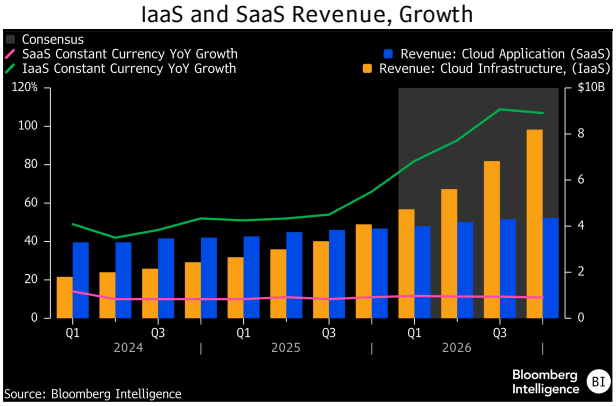
Fiscal 2025 Revenue Breakdown ($ Million)



23. Cloud Powered by Infrastructure Due to AI

(03/11/26)

IaaS and SaaS Revenue, Growth



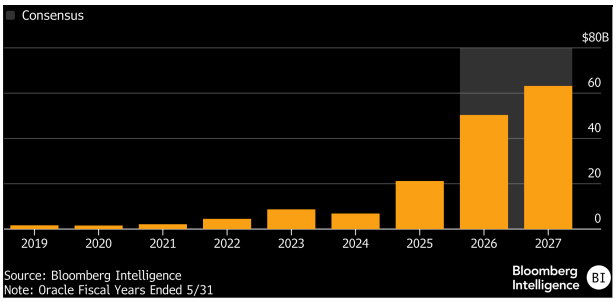
24. Generative-AI Demand Fuels Capital Expenditures

(03/11/26)

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Capital Spending ($ Billion)



Peers

Oracle Takes on SAP in Apps, AWS in Cloud-Infrastructure Market

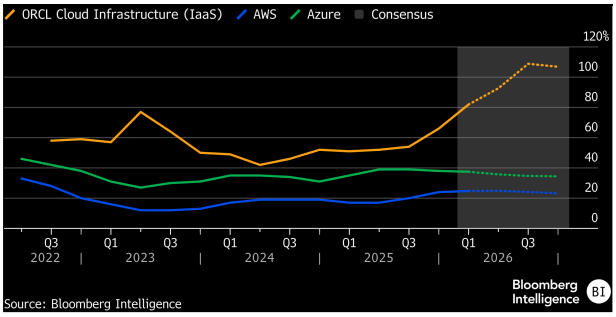
Oracle's chief cloud infrastructure rivals are Amazon Web Services, Microsoft and Google Cloud. Those platforms are larger and better resourced, yet AI-driven compute demand is also lifting Oracle Cloud Infrastructure, as more customers seek alternatives for specific workloads. In applications, Oracle competes most directly with SAP, Salesforce and Workday across core enterprise functions. With calendar 2024 revenue of about $55 billion, the company still carries a sizable legacy base that dilutes reported cloud mix and slows the pace of reacceleration.

To access live data and charts, please click on the links under the images below. (03/11/26)

25. Cloud Infrastructure Catching Up to Peers

(03/11/26)

Oracle IaaS, Microsoft Azure, AWS Sales Growth (%)



26. Solid Presence in On-Premise HR, CRM Software

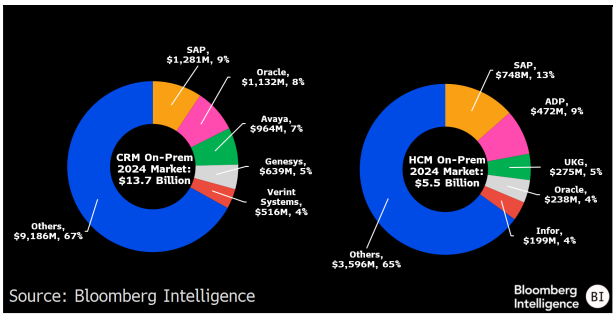
(03/11/26)

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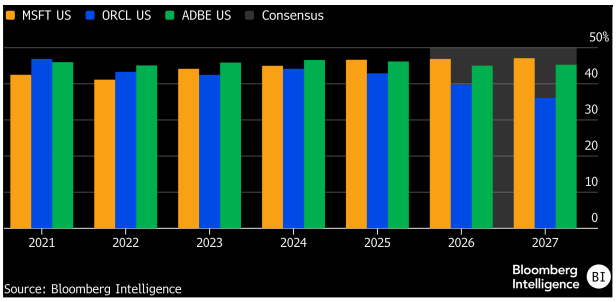
HR, Customer-Relationship Management Market Share



27. Solid Profitability May Face Capital-Spending Pressure

(03/11/26)

Microsoft, Oracle, Adobe Adjusted Operating Margin



Credit Primer

Oracle Credit Outlook

28. Oracle Force Majeure Tests Timing, Not AI Demand: Credit Outlook

Contributing Analysts Robert Schiffman (Credit) & Suchi Trivedi

THESIS: Oracle's force majeure notice for Project Jupiter looks more like a timing issue than a sign of weaker AI demand, supporting our view that it can maintain high grade ratings, and recent bond and CDS widening may be overdone. Delayed payments could ease near-term cash burn and funding needs, though a later start would push out revenue and Ebitda growth and raise uncertainty around monetizing Oracle's AI investments. Its $664 billion of RPO provides strong visibility, but conversion into revenue and cash flow is critical as heavy fiscal 2027 capex keeps free cash flow negative and borrowing needs elevated.

Greater funding clarity, including likely debt issuance in 1H27, and continued operating improvement could support spread tightening and relative outperformance vs. megacap hyperscaler tech peers as execution risk recedes. (09/26/26)

Industry Themes

Hyperscaler Capex Moves Higher

AWS 2027 Capex Could Reach $250 Billion Amid Surge in AI Demand

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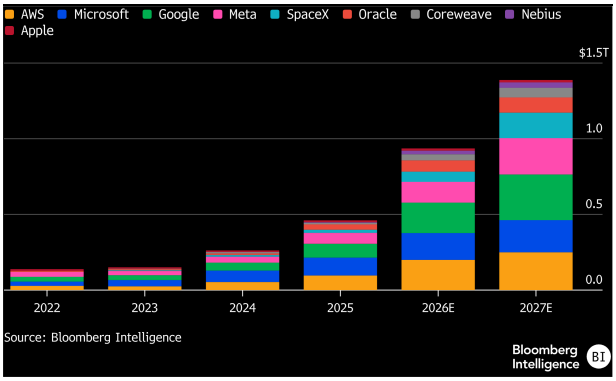
Cloud infrastructure providers' 2Q results point to a surge in AI usage, supporting our view that hyperscaler capital spending will keep increasing, with our analysis suggesting $1.4 trillion of capital spending in 2027, or 48% more than in 2026. Strong demand for AI infrastructure is reflected in backlog, with new work also coming from non-frontier model companies. We expect AWS capex in 2027 to be around $250 billion and Microsoft capex to be about $212 billion. (10/07/26)

29. Big-Tech 2026 Capital Outlay Surges to $857 Billion

Strong backlog growth for almost all hyperscale cloud providers leads to the conclusion that capital expenditures for 2026 and 2027 will likely be higher than in our prior scenario. Our data-center model shows aggregate backlog of around $2.5 trillion, which is driving the updated capital-outlay assumption of $1.36 trillion in 2026, a 97% increase compared to 2025. For 2027, our model shows total capex of $2 trillion, growing 37% above the 2025 figure. This includes SpaceX as an additional contributor to spending, compared to the prior assumption.

Focusing on core US hyperscalers plus the major neoclouds leads to a capex expectation of $936 billion in 2026, an annual increase of 103%, and $1.39 trillion for 2027, or year-over-year growth of 48%. The cohort of US companies for this analysis is made up of Microsoft, Amazon Web Services, Google, Meta, Oracle, Apple, SpaceX, CoreWeave and Nebius. (10/07/26)

Core Big-Tech Capital Expenditures



30. AWS Could Spend $200 Billion in 2026; $250 Billion in 2027

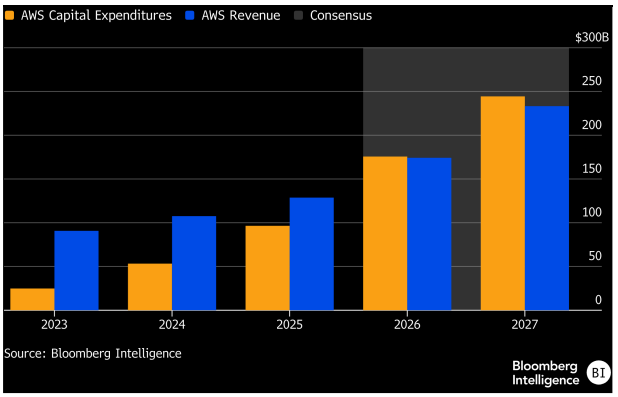
Amazon Web Services (AWS) cloud commitments were $496 billion in 2Q, a sequential rise of $132 billion and up 154% for the year. This sharp backlog increase and rising memory prices have management to lift total capex guidance to $220 billion for 2026. A sharp increase in coding agents and strong revenue growth in Anthropic are some of the key drivers of AWS sales growth, which was well ahead of consensus for 2Q. Potential larger contributions from OpenAI workloads would mean greater data-center expansion, which leads us to AWS alone spending around 90% of the $220 billion total Amazon capex for 2026, or an increase of 81%.

For 2027, the AWS capital outlay could be $250 billion, representing 25% growth over 2026. (10/07/26)

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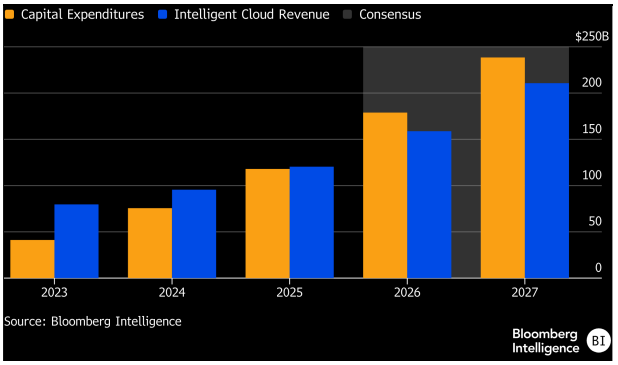
AWS Capital Expenditures vs. Revenue



31. Microsoft 2026 Capex of $178 Billion; 2027 of $212 Billion

Microsoft's backlog rose to $684 billion in the June quarter, up 82%, as AI workloads from OpenAI and coding agents drove Azure demand and the need for more compute capacity. Underlying infrastructure spending could reach about $178 billion in calendar 2026 and $212 billion in 2027, up 50% and 20%, respectively. Microsoft's lower 2026 capex guidance, to $175 billion from $190 billion, doesn't signal weaker investment, but an accounting change shifted more data-center leases to operating leases, excluding them from reported capex while leaving the underlying expansion plan intact. (10/07/26)

Microsoft Capital Expenditures vs. Revenue



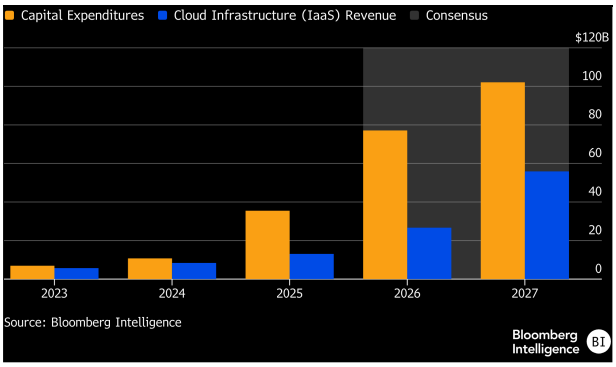
32. Oracle AI Backlog Drives Capex Higher

Oracle's remaining performance obligations reached $638 billion in fiscal 4Q, up $85 billion sequentially and 363% from a year earlier, as large AI contracts drive unprecedented demand for Oracle Cloud Infrastructure. This backlog, including commitments from OpenAI, Meta and other large AI customers, could push capital spending to about $75 billion in calendar 2026 and $101 billion in 2027, up 110% and 35%, respectively. The funding burden should rise more slowly than gross infrastructure investment, however, as $75 billion of contracted AI hardware is prepaid or supplied directly by customers. (10/07/26)

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Oracle Capital Expenditures vs. IaaS Revenue



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